of hightech equipment and reduce the quota of fish Russia was allowed to catch in American territorial waters. As Moscow continued to pour thousands of troops into the country, Honecker declined a demand from Vladimir Kryuchkov, the hawk-eyed KGB chief in Afghanistan. Kryuchkov was desperate for East German officers to join intelligence-gathering missions. Though affable to a fault, Honecker instead articulated social solidarity by sending medical supplies and specialists to help the electrification of Afghanistan and develop college and technical education institutes. Engineers from Radio Berlin International rebuilt Radio Afghanistan's studio, and specialists improved the technical quality of its programmes.

However, even with the distraction of Afghanistan, where the Soviets began facing hit-and-run guerrilla-style combat, the economic crisis was never far away. On 13 December 1979, Honecker delivered a comprehensive Politburo report to the eleventh session of the SED plenum covering a basket of economic policies. He claimed that although planned targets had been met, the necessity for more efficient production was urgent, while at the same time, he criticised government ministries for not making scientific advances quickly enough. Importantly, as will be seen in later chapters, Honecker announced that 1981–5 imports of Soviet energy supplies – a major driver of the economy – would be higher, amounting to a 7.7 per cent increase in oil deliveries. During his presentation, two major economic problems – the balance of trade deficit and inflationary pressure – were blamed on world market fluctuations. To meet these problems, he prescribed a change in the composition of exports and stricter controls on imports, particularly those from non-socialist countries (domestic substitutes would have to be found for the import shortfall, except coffee).

He outlined an official policy to be based on stable prices for staple goods, but cost-based pricing for 'high-quality' goods. As a result of the changing world situation, the GDR, Honecker said, had to deal with 'an important ideological problem', where economic performance could no longer be evaluated solely on the basis of comparison with the previous year's figures. From then on, the essential question was whether or not the economy had kept pace with the demands of the international marketplace. More specifically, he called for a change in the composition of the GDR's